

himself that he had made a wise decision. One year later, the stock was worth 20 percent less. Timothy's broker again advised Timothy to sell, but Timothy wouldn't admit that he might have made a mistake and picked a lousy stock. He ended up holding onto the stock until it was basically worthless. He never did sell his stock. It is now worth two cents a share.

People have a tremendous aversion to taking losses. In Timothy's case, he felt that his ego was on the line. He wouldn't ever sell until he broke even with the original price of the stock. Only then would he feel comfortable selling, knowing that he had not suffered a loss. We hate losing money even more than we like getting it. We tend to hold on to a lousy stock not because we think the value will go up but because we can't deal with the fact that the stock was a bad choice.

By waiting for the stock to rebound, we end up losing valuable time. Every year that we are not investing wisely is a year when we are not adding to our retirement fund. It is crucial to fund our retirement accounts to their maximum. With inadequate funding, we risk running out of money before we die. Considering the fact that Americans are living longer with an average life span into the eighties, it is highly probable that our funds will be depleted too soon. The following chart illustrates the years it will take to run out of money if you withdraw it at a certain percentage rate. Notice how higher expected rates of return (interest earned on your account) will add more years to your funds' lifespan. Your funds' longevity also will be affected by how much you withdraw. The higher the withdrawal percentage, the faster you will go through your money:

